

Paradiem 

The Morning Brief

AUGUST 31, 2026

Hormuz Retaliation

Iran's IRGC launched missile-and-drone strikes on two US bases in Jordan Sunday in retaliation for the US Larak Island bombing, Brent crude bid materially higher into Monday's overnight tape as global equity futures traded softer, and the CME September rate-hike distribution held near a coin flip into the ISM-and-JOLTS Tuesday, ADP Wednesday, ISM Services Thursday, and August employment report Friday sequence.

S&P 500 FUTURES (ES)	BRENT CRUDE (NOV)	BITCOIN (LIVE)	SEPT HIKE ODDS (CME)	FEAR & GREED
↓~0.36% pre-market	~\$89.46 · ↑~1.5% overnight	~\$78,200 · Below Fri close	~60% · up from ~35% pre-Warsh	~54 · Neutral (CNN; drop crypto fallback)

SECTION 01

Markets — Sunday-Into-Monday Setup: The Iran-Retaliation Sequence Repriced Overnight Oil and Global Equity Futures While the September Rate-Hike Distribution Held Near a Coin Flip Ahead of a Full Five-Session Trading Week Sequencing the ISM-and-JOLTS Tuesday, ADP and Beige Book Wednesday, ISM Services Thursday, and the August Employment Report Friday Into the September 15–16 FOMC

THE OVERNIGHT COMPOSITION: AN IRAN-RETALIATION OIL BID COMPOUNDED ON THE POST-WARSH RATE RESET, NOT A NEW COMMUNICATION SIGNAL FROM THE FED

Per Al Jazeera and Reuters coverage of the overnight sequence, US Central Command bombed two Islamic Revolutionary Guard Corps rocket launchers observed preparing to deploy mines into the Strait of Hormuz on Larak Island Sunday, the IRGC subsequently launched a combined missile-and-drone strike on the King Hussein and Al Azraq US air bases in Jordan overnight in stated retaliation, and Iran claimed to have targeted the UAE's Al Minhad base — the UAE denied any strike. Per CNBC and Bloomberg coverage of the crude tape response, Brent for November delivery gained approximately ↑1.54% to roughly \$89.46 a barrel through the Sunday-into-Monday session and WTI traded near \$86, and per India TV and CNBC coverage of the Asian session, the Nikkei 225 traded ↓~1.1% and the Hang Seng ↓~0.66% on the composite risk-off read. Per CNBC and TheStreet coverage of the CME FedWatch state on Monday morning, September-meeting probabilities for a quarter-point rate increase sit near approximately 60% into the pre-market against roughly 35% Thursday pre-Warsh — the incremental Iran-escalation composition arrives with the front-end curve still absorbing the Jackson Hole hawkish reset rather than repricing on a fresh Fed signal. For FCI positioning, the composition — an Iran retaliation-and-oil sequence layered onto a still-elevated September rate-hike distribution — sets the sleeve reading through the physical-supply-plus-rate axis on Day 1 of the four-session labor-market cadence.

S&P 500 FUTURES (ES)	↓~0.36% pre-market
BRENT CRUDE (NOV)	~\$89.46 · ↑~1.5% overnight
NIKKEI 225 (ASIAN CLOSE)	↓~1.1% Monday
HANG SENG (ASIAN CLOSE)	↓~0.66% Monday
BITCOIN (LIVE)	~\$78,200 · Below Fri afternoon
AUG PAYROLLS (CAP ECON EST)	+~90k · Fri Sept 4 at 8:30 AM ET

THE WEEK'S CATALYST STACK SITS AHEAD: ISM MANUFACTURING AND JOLTS TUESDAY, ADP AND THE FED BEIGE BOOK WEDNESDAY, ISM SERVICES THURSDAY, THE AUGUST EMPLOYMENT REPORT FRIDAY, AND BROADCOM'S FISCAL Q3 AI-SEMICONDUCTOR RELEASE AFTER THE WEDNESDAY CLOSE

Per Schaeffer's Investment Research and FXStreet week-ahead previews and per ISM release calendar, the sequence carries the ISM Manufacturing PMI and July construction spending Tuesday, the JOLTS Job Openings & Labor Turnover Survey also Tuesday, the ADP National Employment Report and the Fed's Beige Book Wednesday, the July trade balance and ISM Services PMI Thursday, and the August Employment Report (nonfarm payrolls, unemployment rate, average hourly

earnings) at 8:30 AM ET Friday per BLS release calendar; per Capital Economics preview coverage, sell-side consensus expects August nonfarm payrolls of roughly ↑90,000 with the unemployment rate approximately unchanged, an incremental read after the July release showed payrolls declined by 23,000. Per Seeking Alpha and Tickeron coverage of the AVGO fiscal Q3 release scheduled for Wednesday, September 2, sell-side consensus centers on approximately \$29.4 billion of total revenue and roughly \$16 billion of AI-semiconductor revenue — the incremental read into the custom-silicon-hyperscaler complex after the NVDA beat-and-raise on August 27 and the MRVL sequential-timing compression on August 28. Per Federal Reserve calendar, the September 15–16 FOMC sits fifteen calendar days out from Monday's cash open and eleven calendar days from the payrolls print. For FCI positioning, the composition — a labor-market cadence Tuesday-through-Friday layered against the AVGO custom-silicon read midweek and now against an active Middle East retaliation sequence — sets the sleeve reading through three orthogonal axes into the FOMC rather than any single storyline.

A weekend that layered an Iran-retaliation strike on US bases against an already-hawkish September rate-hike distribution tends to sequence physical-supply-and-front-end-rate positioning through the incremental data cadence rather than the prior release. Physical world matters.

Geopolitics — The First US Kinetic Strike in Weeks Broke the Late-Summer Communication Lull as CENTCOM Bombed Two IRGC Rocket Launchers on Larak Island in the Strait of Hormuz Sunday and the IRGC Retaliated Overnight With Ballistic-Missile-and-Drone Strikes on the King Hussein and Al Azraq US Bases in Jordan; Trump Amplified the Escalation With an AI-Generated Kharg Island Post That Tehran Dismissed, Treasury Secretary Bessent Signaled Weekly Secondary-Sanctions Waves, and the Ukrainian Drone Campaign Struck Russia's Second-Largest Refinery at Kirishi

CENTCOM STRUCK TWO IRGC ROCKET LAUNCHERS ON LARAK ISLAND IN THE STRAIT OF HORMUZ SUNDAY — THE FIRST US KINETIC ACTION AGAINST IRAN IN MORE THAN A MONTH — AND THE IRGC RETALIATED OVERNIGHT WITH BALLISTIC-MISSILE-AND-DRONE STRIKES ON THE KING HUSSEIN AND AL AZRAQ US BASES IN JORDAN; IRAN ALSO CLAIMED A STRIKE ON THE UAE'S AL MINHAD AIR BASE THAT THE EMIRATES DENIED

Per Al Jazeera, Washington Post, and CNN coverage of the Sunday sequence, US Central Command bombed two IRGC rocket launchers observed preparing to deploy sea mines into the Strait of Hormuz from Larak Island in the first US kinetic strike against Iranian targets in more than a month; per Al Jazeera live coverage, Xinhua, and Reuters coverage of the overnight retaliation, the IRGC launched a combined ballistic-missile-and-drone attack on the King Hussein and Al Azraq US air bases in Jordan targeting stated technical-and-maintenance infrastructure and fighter-jet positioning, and separately claimed to have struck the UAE's Al Minhad air base — a strike the UAE central authority publicly denied per data drop headlines cited from Reuters. Per Times of Israel and Newsweek coverage of Trump's Sunday communications, the President amplified the escalation posture by posting an AI-generated video depicting the destruction of Iran's Kharg Island oil-export terminal without further detail; per Reuters coverage cited in the data drop headlines, Iran dismissed the post as posture and no confirmed strike on Kharg has been reported. Per Reuters coverage cited in the data drop headlines, Treasury Secretary Bessent indicated the administration expects new US secondary-sanctions waves on Iran-linked entities on approximately a weekly cadence, extending the sanctions perimeter widening captured in Saturday's brief through Cairo and Abu Dhabi. Per CNBC and Bloomberg coverage of the crude tape, Brent for November delivery moved to approximately \$89.46 (↑~1.54%) on the composite physical-supply read. For FCI positioning, the composition — the first US kinetic action in weeks against Iranian targets in the Strait, an IRGC retaliation on US bases in Jordan, an amplified Kharg posture, and a weekly secondary-sanctions cadence — keeps the FCI energy sleeve (CVX, CNX, OKE) at the intersection of the physical-friction floor, the reactivated military-exchange axis, and the diplomatic-negotiating window into the September 24 Trump-Xi summit and the November 10 Kuala Lumpur truce expiry captured in prior briefs.

UKRAINE'S DEEP-RANGE DRONE CAMPAIGN STRUCK THE KIRISHI REFINERY IN RUSSIA'S LENINGRAD OBLAST OVERNIGHT — THE COUNTRY'S SECOND-LARGEST BY CAPACITY — AND RUSSIA EXTENDED ITS DIESEL EXPORT BAN AS THE AUGUST CAMPAIGN APPROACHED THE HIGHEST SINGLE-MONTH COUNT SINCE THE INVASION BEGAN

Per Kyiv Independent, Euromaidan Press, Ukrainska Pravda, and Bloomberg coverage of the overnight-into-Sunday strike, Ukrainian defence forces hit the Kirishi oil refinery in Russia's Leningrad Oblast — the country's second-largest refinery by capacity with an annual processing capacity of approximately 20 million tonnes of oil — touching off a large fire just weeks after the site resumed operations following an earlier strike, and Ukrainian forces separately hit the Yeysk airfield in

Krasnodar Krai and a drone launch-and-storage site in Rostov Oblast. Per Ukrainska Pravda coverage of the Saturday policy sequence, Russia extended its diesel export ban as the incremental refinery-strike compression continued to compound on domestic fuel supply; per Mezha and Wikipedia coverage of the cumulative August campaign, Ukrainian forces attacked Russian refineries more than twenty times in the month — the highest single-month count recorded in the current campaign — and Russian oil refining fell to approximately 3.8 million barrels per day, approaching the lowest level in more than two decades. For FCI positioning, the composition — a Ukraine-Russia refinery campaign at deep-strike range compounding on the reactivated Iran-military-

exchange axis — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through a two-sided physical-friction expression that has moved back into the front of the book on Day 1 of a full trading week.

THE SEPTEMBER 24 TRUMP-XI WASHINGTON SUMMIT FRAMEWORK AND THE INCREMENTAL 7.5% OVERCAPACITY-TARIFF TRACK CONTINUE TO ADVANCE IN THE BACKGROUND OF THE IRAN ESCALATION, AND THE FED-INDEPENDENCE OVERHANG FROM THE WARSH JACKSON HOLE TASK-FORCE REFERENCE PERSISTS ALONGSIDE THE IRAN SANCTIONS CADENCE

Per Bloomberg, Fortune, and CSIS coverage cited earlier in the week and carried forward through the weekend, the administration continues to prepare an incremental 7.5% overcapacity tariff on Chinese goods designed to bring the aggregate US-China tariff burden toward roughly the 20% level Beijing has signaled as consistent with the current truce, with the announcement engineered around President Xi's September 24 Washington state visit — the first Chinese state

visit in more than a decade — and the summit agenda expected to include AI governance, export controls, Taiwan, and the architecture of the bilateral trade relationship after the November 10 Kuala Lumpur truce expiry. Per Federal Reserve release of Chair Warsh's Friday Jackson Hole keynote, the reference to a Fed-Treasury balance-sheet framework task force continued to sit alongside the Bessent-Warren public exchange on Japanese yen intervention posture captured in Saturday's brief — the Fed-independence communication overhang persists into the September 15–16 FOMC alongside the incremental Iran secondary-sanctions cadence. For FCI positioning, the composition — an advancing US-China tariff track, an active Fed-Treasury governance signal, and a widening Iran secondary-sanctions perimeter — extends the trade-and-geopolitical compound the sleeve has been reading through the third quarter and into the fourth.

SECTION 03

On Our Radar

1. Iran Retaliation Sequence — The First Direct US-Iran Military Exchange in More Than a Month Reopens the Front of the Book: CENTCOM Struck Larak Island Sunday, the IRGC Retaliated on Two US Bases in Jordan, and the UAE Denied an Iranian Claim of a Strike on Al Minhad. Per Al Jazeera live coverage, US Central Command bombed two IRGC rocket launchers on Larak Island (Strait of Hormuz) preparing to deploy sea mines, and the IRGC launched a combined ballistic-missile-and-drone attack overnight on the King Hussein and Al Azraq US air bases in Jordan targeting stated technical-and-maintenance infrastructure per Xinhua and Al Jazeera coverage of the IRGC statement; per data drop headlines from Reuters, the UAE publicly denied that its Al Minhad base was targeted. Per Times of Israel and Reuters coverage, President Trump amplified the escalation with an AI-generated post depicting the destruction of Iran's Kharg Island oil-export terminal, a communication signal Iran dismissed with no confirmed strike reported. Per Reuters coverage cited in the data drop headlines, Treasury Secretary Bessent said new US secondary sanctions on Iran-linked entities should be expected on approximately a weekly cadence. For FCI positioning, the composition — the first direct US-Iran kinetic exchange in weeks, an amplified Kharg posture, and a weekly secondary-sanctions cadence — keeps the FCI energy sleeve (CVX, CNX, OKE) sitting at the intersection of the physical-friction floor and the reactivated military axis into the September 24 Trump-Xi summit and the November 10 Kuala Lumpur truce expiry.

2. Overnight Oil Complex Repriced Higher on the Iran-Retaliation Read — Brent for November Delivery Advanced Approximately $\uparrow 1.5\%$ to Roughly \$89.46 With WTI Near \$86; Ukraine's Kirishi Refinery Strike Compounds on the Physical-Friction Compression. Per CNBC and Bloomberg coverage of the Sunday-into-Monday session, Brent for November delivery moved to approximately \$89.46 ($\uparrow 1.54\%$) and WTI traded near \$86 on the composite Iran-retaliation read; per Kyiv Independent, Euromaidan Press, and Bloomberg coverage of the overnight-into-Sunday Ukrainian drone campaign, the Kirishi refinery in Russia's Leningrad Oblast — the country's second-largest refinery by capacity — sustained a large fire in the strike as Russia extended its diesel export ban per Ukrainska Pravda coverage of the parallel policy move. Per data drop, Friday closes still on the tape carry USO at \$129.70 ($\downarrow 0.24\%$) and BNO at \$51.48 ($\downarrow 0.44\%$) as the pre-Warsh dollar bid partially offset the physical-supply signal into the weekly close — a composition inverted in the overnight session with the Iran retaliation and refinery strike compounding on the physical variable. For FCI positioning, the composition — a two-sided physical-friction expression across the Iran-and-Russia axes — keeps the FCI energy sleeve reading through the intersection of physical supply, the reactivated Iran military-exchange axis, and the September rate-hike distribution.

3. Week Ahead — The Catalyst Stack Sequences ISM Manufacturing and JOLTS Tuesday, ADP and the Fed Beige Book Wednesday, ISM Services Thursday, the August Employment Report Friday, and Broadcom's Fiscal Q3 AI-Semiconductor Release Wednesday After the Close; Sell-Side Consensus for August Nonfarm Payrolls Centers Near +90k.

Per Schaeffer's Investment Research, FXStreet, and ISM release-calendar previews, the sequence carries ISM Manufacturing PMI, July construction spending, and the JOLTS Job Openings & Labor Turnover Survey Tuesday, the ADP National Employment Report and the Fed Beige Book Wednesday, the July trade balance and ISM Services PMI Thursday, and the August Employment Report (nonfarm payrolls, unemployment rate, average hourly earnings) at 8:30 AM ET Friday per BLS release calendar; per Capital Economics preview coverage, sell-side consensus expects August nonfarm payrolls near +90,000 with the unemployment rate approximately unchanged, following the July release that showed payrolls declined by 23,000. Per Seeking Alpha and Tickeron coverage, Broadcom (AVGO, not held by FCI) is scheduled to release fiscal Q3 results Wednesday, September 2 after the close, with consensus centered on approximately \$29.4 billion of total revenue and roughly \$16 billion of AI-semiconductor revenue — the incremental read into the custom-silicon-hyperscaler complex after the NVDA beat-and-raise August 27 and the MRVL sequential-timing compression August 28. Per Federal Reserve calendar, the September 15–16 FOMC sits fifteen calendar days out from Monday's cash open. For FCI positioning, the composition — a full labor-market cadence layered against the AVGO custom-silicon read midweek and now against an active Middle East retaliation sequence — sequences the September rate-decision distribution against three orthogonal axes.

4. Carson's SPY \$645.80 Support Remains Active — Friday's \$768.31 Intraday Low Left the Level Untouched; No Active Resistance Levels on the Book Following the April 14 Major-Zone Breakout.

Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Friday's \$768.31–\$775.30 SPY intraday range per data drop and sits approximately 16.0% below the last cash-market print at \$769.35 (SPY Fri close). No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With Monday's cash open sequencing an overnight Iran-retaliation risk-off tape into the four-session labor-market cadence, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 62 "Greed" reflects the CNN endpoint falling back to the crypto index; per Liberated Stock Trader August 2026 CNN Fear & Greed tracking, the CNN stock-market reading sat near 54 "Neutral" as of the

Friday close and likely leaned lower on the overnight retaliation read — treat as approximate for this brief.

5. Digital-Asset Tape — Bitcoin Traded Near \$78,200 Into the Monday Pre-Market After the Weekend Sequence, Modestly Below the Friday Cash-Session Level Implied by IBIT's \$43.90 Close (↓3.07%) and ETHA's \$18.37 Close (↓2.65%).

Per CoinDesk and Finbold live coverage as of Monday morning, Bitcoin traded near \$78,200 — modestly below the Friday afternoon level implied by the FCI digital-asset ETF closes at IBIT \$43.90 (↓3.07%) and ETHA \$18.37 (↓2.65%) per data drop — extending the post-Warsh dollar-and-real-yield compression across the weekend with a modest incremental leg on the Iran-retaliation risk-off read. Per data drop, HOOD closed Friday ↓5.01% at \$104.26, MARA ↓10.11% at \$10.67, and HUT ↓8.85% at \$79.42 as the FCI fintech-and-miner sleeve gave back a portion of the week's bid on the Friday reversal; per CoinDesk coverage of the Sunday sentiment framing, September rate-hike-odds sit near approximately 60% into the pre-market rather than the ~90% pricing that some digital-asset commentary had characterized as the source of the weekend fade. For FCI positioning, the composition — a weekend digital-asset tape modestly softer against a reactivated Iran-military-exchange axis — keeps the IBIT and ETHA expressions reading through the September rate-decision distribution rather than the incremental payments-and-policy Jackson Hole framing captured earlier in the week.